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Alexander Levy

Schemes could be overpaying tax on DB surplus refunds, advisers say

HMRC position conflicts with legislation and trustees remain unwilling to launch challenge



Alex Levy

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Advisers say schemes could be paying more tax than necessary on surplus payments to employers, with trustees reluctant to challenge the position.

Growing confusion among trustees stems from a mismatch between the interpretation of HM Revenue & Customs' (HMRC) position set out in pension schemes newsletter 163 in October 2024 and the legislation as set out in the Finance Act 2004.

In the newsletter, HMRC said the tax applies to the gross amount of surplus, not to the net amount received by the sponsoring employer. Some advisers say this assessment is not supported by the legislation, which says: "the rate of the charge is 25% in respect of the authorised surplus payment."

What is the 25% question?

In practice, this means that for £1m of surplus leaving a scheme, under the gross interpretation set out in the newsletter, the 25% tax would arise on the full amount, with £750,000 paid to the employer and £250,000 in tax. Under the net interpretation, £800,000 would be paid to the employer, with £200,000 paid as tax by the trustees.

Despite HMRC writing in the 2024 newsletter that it would update the guidance in the pensions tax manual with examples no change has been made, although *PP* understands that HMRC still intends to update the guidance in the manual.

When approached for comment, HMRC told *PP*: "The newsletter reflects our longstanding position. It is consistent with the law and the policy intention, which is to recoup the tax relief previously given when the funds were paid into the pension scheme.

"Other interpretations emerged after the rate was reduced, which is why we publicly restated our position two years ago."

The rate of tax on authorised surplus payments to employers was reduced from 35% to 25% in April 2024.

Schemes respond with caution, but dissent growing

Isio director Ian Cochrane said he was "seeing more and more firmer opinion saying that does not appear to be in line with the legislation" and there is a growing consensus among the industry that HMRC's position is not supported by the law.

Temple Bright partner Hywel Robinson said that "HMRC's position appears wrong under the legislation" and "doesn't tie in with what the Finance Act 2004 actually says".

In practice, advisers told PP that many trustee boards are opting to pay the higher amount of tax set out in the newsletter rather than risking challenging HMRC.

Robinson said employers will need to ask, "how much value is there in disputing this?"

He said that trustees will need legal advice before taking surplus with the narrower tax base and parties must consider the cost of a disagreement with HMRC and whether the surplus involved justifies it.

For schemes with a relatively small amount of surplus, Cochrane agreed that trustees might opt not to run the risk of disputing HMRC's position.

While he was not aware of any schemes who had already taken the position of paying the lower amount of tax when paying surplus to an employer, he said: "I do know of some trustees who are prepared to follow the strict reading of the legislation and what HMRC guidance currently says in the manuals, and just pay 25% of the payment, and see what happens."

He added that resolution would only likely come if a scheme took a position to pay the lower amount of tax, which was then challenged and taken to a tax tribunal.

Robinson said that "however formal HMRC makes the guidance, it won't change the law". He said that confusion is likely to remain unless HMRC withdraws the newsletter, or parliament amends the original legislation in the Finance Act 2004.

What does this mean for trustees?

Cochrane wrote in a LinkedIn post this week that this discrepancy raised a possible complication for trustees' fiduciary duty. He said: "Since trustees owe a fiduciary duty to the beneficiaries, which will generally include the sponsor, they should not be paying more in tax than the legislation requires."

Sackers partner Eleanor Daplyn cast doubt on this being a primary concern for trustees, saying that case law indicates trustees are entitled to take sponsors' interests into account, but that "the trustee does not have to give them overriding regard and that this is not the same as owing the company a positive fiduciary duty."

With the vast majority of defined benefit (DB) schemes now in surplus and considering payments to both members and employers, Daplyn said the 25% question is "very much a live issue".

Cochrane agreed, saying "I would expect trustees would be slightly reluctant to stick their head above the parapet to say what they're doing, but it's certainly an area that's getting more focus".

The reforms in the Pension Schemes Act designed to make it easier to extract surplus to pay to members and sponsors are also accelerating conversations on the correct amount of tax.

Cochrane said: "That is what the government wishes to happen, to put this to more productive use, so it's very important that there is some more clarity around what the correct approach is."

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